



ACCOUNTING POLICY PAPER RISK ADJUSTMENT

SOCIAL HEALTH AUTHORITY

22nd May 2026

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IFRS 17 Insurance Contracts establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an insurer provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the insurer's financial position, financial performance and cash flows.

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OUR REF

Social Health Authority \IFRS 17 Implementation Support\Social Health Authority – Accounting Policy Paper – Risk Adjustment_(220526)

DOCUMENT PURPOSE

Submission to the Management of Social Health Authority.

DOCUMENT OWNERSHIP

The owner of this document is Social Health Authority.

To protect the confidential and proprietary information in this document, it may not be disclosed or provided to any third party without the approval of Social Health Authority.

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ABBREVIATIONS & DEFINITIONS

NAME	DEFINITION
BCL	Basic Chain Ladder
IBNR	Incurred But Not Reported
IFRS	International Financial Reporting Standard
KAFS	Kenbright Actuarial and Financial Services Limited
SHA	Social Health Insurance
RA	Risk Adjustment
The Standard	IFRS 17 Standard

1 INTRODUCTION

Purpose

- 1.1 Social Health Authority ('SHA') is a statutory agency established under section 4 of the Social Health Authority Act, 2023, which enacted on **22nd November 2023** to succeed the National Health Insurance Fund (NHIF) as Kenya's primary health coverage provider. NHIF ceased its operation on **30th June 2024**, with its final admissions date being **30th September 2024**. The transition period, spanning from November 2023 to mid-2024, involved the legal transfer of assets, liabilities and functions. SHA officially commenced its operation on **1st October 2024**.
- 1.2 SHA is mandated to pool contributions from individuals, employers, and the government to purchase healthcare services from empaneled and contracted healthcare providers and pay for the provision of quality healthcare services to members and their beneficiaries.
- 1.3 Social Health Authority is a statutory agency established under Section 4 of the Social Health Authority Act, 2023 and manages the following funds:
 - a) **Primary Health Care Fund**- Covers basic health services
 - b) **Social Health Insurance Fund** – Covers broader health insurance coverage
 - c) **Emergency, chronic and Critical Illness Fund** – Covers serious and urgent health conditions.
 - d) **Public Officers Medical Scheme Fund** – Covers public officers.
- 1.4 This policy paper outlines the approach that SHA will adopt in determining the **Risk Adjustment ('RA')**.
- 1.5 The aim of this policy paper is to provide an overview of the risk adjustment calculation that SHA will implement in accordance with the standard.

Risk Adjustment

- 1.6 Paragraph 37 of the standard states that:

An entity shall adjust the estimate of the present value of the future cashflows to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of the cash flows that arises from non-financial risk.

- 1.7 The estimate method(s) employed to calculate the RA for non-financial risk are not specified in the standard.

1.8 Appendix B91 of the standard states that:

IFRS 17 does not specify the estimation technique(s) used to determine the risk adjustment for non-financial risk. However, to reflect the compensation the entity would require for bearing the non-financial risk, the risk adjustment for non-financial risk shall have the following characteristics:

- a) Risks with low frequency and high severity will result in higher risk adjustments for non-financial risk than risks with high frequency and low severity.
- b) For similar risks, contracts with a longer duration will result in higher risk adjustments for non-financial risk than contracts with a shorter duration.
- c) Risks with a wider probability distribution will result in higher risk adjustments for non-financial risk than risks with a narrower distribution.
- d) The less that is known about the current estimate and its trend, the higher will be the risk adjustment for non-financial risk; and
- e) To the extent that emerging experience reduces uncertainty about the amount and timing of cash flows, risk adjustments for non-financial risk will decrease and vice versa.

Objective

- 1.9 The objective of this policy paper is to provide a clear framework and guidelines for determining the appropriate compensation an entity requires for bearing uncertainty in future cash flows, particularly from non-financial risks.
- 1.10 The policy paper also aims to ensure consistent and accurate implementation of Risk Adjustment under the standard, enhancing transparency and reliability in financial reporting.

Scope

- 1.11 This policy paper outlines the approach SHA will use to determine the Risk Adjustment for its insurance contracts as required under the standard.

2 METHODOLOGIES AND ASSUMPTIONS

- 2.1 SHA's primary approach for calculating the RA will be the Bootstrapping method with Cost of Capital as the alternative where bootstrapping is not applicable.
- 2.2 The Insurance Regulatory Authority has prescribed under circular CONF/IRA/00/001/03 dated 22nd March 2023, "The Implementation of the Standard," both the Bootstrapping and Cost of Capital methods to adhere to a 75% confidence level.
- 2.3 This confidence level guarantees compatibility with the risk management strategy of the business. As such the same confidence level will be applied to liabilities under SHA to ensure comparability of the same medical schemes.

Bootstrapping Method

- 2.4 The Bootstrapping method is a robust statistical technique that resamples historical claims data to generate a distribution of possible future outcomes, allowing for a detailed and realistic estimation of the RA. It uses a two-stage bootstrapping approach.
- 2.5 In the first stage an ordinary Basic Chain Ladder ("BCL") method is applied to a cumulative claim's triangle. The calculated the scaled Pearson residuals are bootstrapped R times to forecast future incremental claims payments via the standard BCL method.
- 2.6 In the second stage, a simulation process error is run using the bootstrap value as the mean and assuming over-dispersed Poisson process distribution. The IBNR reserves generated by this technique form the predictive distribution from which summary statistics including the mean, prediction error, and quantiles can be computed.
- 2.7 This resampling technique utilizes historical data to generate stochastic scenarios, drawing upon past observations as potential future outcomes rather than theoretical distributions.
- 2.8 This method assesses probabilities of uncertain outcomes, leveraging historical data while addressing factors like seasonality or exposure through normalization. While advantageous for capturing heavy tails or anomalies, it may lack accuracy for small samples, assuming variable independence, and potentially underrepresent future cash flow variability, particularly for rare, severe events.
- 2.9 The results of the production of a full distribution of the claims from which the mean and the 75th percentile reserves will be estimated. The risk margin is then derived from the two estimates as shown below:

$$\text{Risk Margin at 75\% Confidence Level} = \text{IBNR at 75\% Confidence Level} - \text{Mean IBNR}$$

Cost of Capital Approach

- 2.10 The Cost of Capital approach determines the RA by estimating the compensation required for taking on insurance risks, reflecting the opportunity cost of holding capital.
- 2.11 This RA method relies on an entity defining its risk preference by choosing a suitable capital amount. The necessary capital varies with the time horizon, considering that insurance contract cash flows often span numerous years ahead.
- 2.12 The rate used for this approach is derived from the Risk Based Capital Model provided by the Insurance Regulatory Authority ('IRA'). The RBC model provides the risk charges for each line of business under Capital Form 2. It also provides for an additional Catastrophe Risk Charge of 2% as shown in the table below:

COST OF CAPITAL APPROACH (USING REGULATORY CAPITAL MODEL AT 75% PERCENTILE, % of Claims)			
Minimum Capital Requirement (MCR)			
Insurance Class	Claim Reserves	Catastrophe	MCR Capital
Medical	13%	2%	15%

**Excludes diversification benefits*

- 2.13 The Cost of Capital rate is determined at 75% confidence level and using 10% as the average required return on investment, as shown in the table below:

COST OF CAPITAL APPROACH (USING REGULATORY CAPITAL MODEL AT 75% PERCENTILE, % Of CLAIMS)							
Minimum Capital Requirement (MCR)				PCR / SCR			
Insurance Class	Claim Reserves	Catastrophe	MCR Capital	Solvency Adjustment	Regulatory Capital	Selected Cost of Capital Rate	Risk Margin
Medical	13%	2%	15%	1	15%	10%	1.50%

Source: TASK IFRS 17 Risk Adjustment Guidance

3 NON-FINANCIAL RISK

- 3.1 Non-financial risk refers to uncertainties arising from insurance contracts that are not related to financial risk.
- 3.2 In line with the standard, SHA includes several key non-financial risks in the risk adjustment calculation to capture the inherent sustainability risks.
- 3.3 According to the standard the insurance risk is defined as;

Risk, other than financial risk, transferred from the holder of a contract to the issuer.

- 3.4 SHA will consider the following key non-financial risks;

Cashflow risk:

- 3.5 This is the risk of uncertainty of premium contribution and fluctuation in usage of the SHA policy benefits and unexpected claims patterns.

Expense Risk

- 3.6 Uncertainty regarding the future costs associated with provision of services, including administrative expenses, which could differ from the initial estimates.

Regulatory and Legal Risks

- 3.7 Changes in laws, regulations, or legal interpretations that could impact the terms of insurance contracts or the entity's obligations under those contracts.

Claims Frequency and Severity

- 3.8 The risk that the number of claims or the severity of claims will differ from what was anticipated, leading to higher payouts than expected.
- 3.9 SHA will **NOT** include risks that do not arise from the insurance contracts in the RA, such as general operational risk.

4 COMMUNICATION & DATA JUDGEMENT

Data Judgement

- 4.1 SHA will rely on historical data for identifying patterns in empirical data and making predictions about future outcomes that may arise from uncertainties of its non-financial risk. Where historical data is deemed insufficient, SHA will rely on expert judgement.
- 4.2 When selecting and validating this empirical data, SHA will consider factors such as the completeness of the data set, the consistency of recording practices over time, and the presence of any anomalies or trends.

Communication

- 4.3 Effective communication is paramount in ensuring transparency and understanding regarding risk adjustment (RA) under the Standard.
- 4.4 The nature and extent of risks arising from insurance contracts, including changes in the risk adjustment over time, must be clearly communicated.

Governance and Oversight

- 4.5 Ensuring the accuracy and reliability of the RA calculation is essential. SHA will establish a comprehensive governance framework for overseeing RA determination, including:
 - a) Establishing a mechanism to oversee the RA methodology, assumptions, and calculations.
 - b) Implementing a thorough review process with internal and external auditors to validate RA calculations and assumptions.
 - c) Regularly updating the RA policy to reflect changes in the business environment, regulatory requirements, and best practices.
 - d) Maintaining clear documentation of the RA methodology, assumptions, and governance processes to ensure transparency and accountability.

5 DISCLOSURE

- 5.1 The standard mandates specific disclosure requirements to enhance the transparency and understanding of the risk adjustment (RA) in financial statements.
- 5.2 These disclosures shall provide the methodologies, assumptions, and confidence levels employed in determining the RA, as well as the impact of these on the company's financial position and performance.
- 5.3 SHA will be required to exercise discretion of its chosen RA approach.
- 5.4 Appendix B92 of the standard states that Key components of these disclosures include:

An entity shall apply judgement when determining an appropriate estimation technique for the risk adjustment for non-financial risk. When applying that judgement, an entity shall also consider whether the technique provides concise and informative disclosure so that users of financial statements can benchmark the entity's performance against the performance of other entities. Paragraph 119 requires an entity that uses a technique other than the confidence level technique for determining the risk adjustment for non-financial risk to disclose the technique used and the confidence level corresponding to the results of that technique.

Methodology.

- 5.5 A detailed explanation of the approach used to calculate the Risk Adjustment, such as Bootstrapping.

Assumptions.

- 5.6 The key assumptions underlying the Risk Adjustment calculation, including factors like interest rates, confidence levels, and any other assumptions that significantly impact the estimate.

Quantitative and qualitative Data used

- 5.7 The data used in the calculation including both numerical data (such as historical claims data) and qualitative information (such as expert judgment or considerations of non-financial risks).

6 REFERENCE

Refer to the IFRS 17 Standard available online at the address below:

<https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2022/issued/part-a/ifrs-17-insurance-contracts.pdf?bypass=on>

This policy has been adopted and signed by the Board of Management of Social Health Authority on this

_____ day of _____ 2026.

Chief Executive Officer: _____

Signature: _____

Appointed Actuary: Ezekiel Macharia

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